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# Portfolio Prospectus

## Equity and Debt Markets Analysis

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### Introduction

This document serves as a comprehensive report for my long only portfolio on Fidelity used to pay for my Columbia tuition next year, which links macroeconomic analysis, including geopolitical shifts and financial events, with fundamental asset pricing to track portfolio performance. Each iteration of this report evaluates the current U.S. macroeconomic environment, citing any changes, and includes specifically central bank liquidity flows, yield curve dynamics, and monetary policy expectations, and translates these signals into sector allocations based on the growth vs. value stocks. Beyond identifying fundamentally

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mispriced equities through robust valuation models including DCFs with intensive sensitivity analysis, this framework manages exposure through a portfolio correlation matrix, strategic short positioning, and active risk budgeting. All portfolio adjustments, sector shifts, and their underlying rationales will be documented continuously.

**10/4/2026**

### **Macroeconomic Data Review:**

Recent macroeconomic releases confirm a transition toward a cooling but resilient economic environment. The August PCE report indicated that headline inflation rose 3.4% year-over-year, coming in below the 3.7% forecast, while Core PCE registered at 3.0% against a 3.3% expectation. Conversely, Q2 GDP was revised upward to a 2.2% annualized growth rate, surpassing the 1.5% consensus.

Simultaneously, the labor market showed significant cooling. The September employment report from the BLS indicated the addition of only 29,000 nonfarm jobs, pushing the unemployment rate up to 4.2%, compounded by downward revisions to July and August payrolls. This subverts earlier fears of a tight, wage-driven inflation spiral, reinforcing the view that sticky inflation is fading and the Federal Reserve has the latitude to contain it without aggressive tightening.

### **Fixed Income:**

The combination of softer inflation and a cooling labor market has effectively priced out the probability of an October rate hike. This catalyst triggered a front-end rally as investors rushed to lock in secured, peak yields before the Fed transitions to an easing cycle.

The portfolio's strategic allocation to 9-month U.S. Treasury bills successfully paid off due to this macroeconomic shift. Because these instruments were secured when interest rate expectations were higher, they were purchased at a steeper discount to par. Now that current 9-month yields have fallen, the fixed return of existing holdings is superior to newly issued paper. Consequently, the portfolio positions have appreciated in price. The long end of the yield curve, however, experienced a notable steepening. Driven by fears of

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longer-term inflation stemming from Middle Eastern geopolitical supply risks, and combined with a massive rotation of capital out of safe-haven bonds and into risk-on equities, long-duration Treasuries faced a heavy sell-off. This selling pressure drove the 20-year yield up to 5.67%, further justifying avoidance of long-duration fixed income exposure.

## **Equities:**

Equities reacted exceptionally well to these data releases, driven by a combination of resilient economic output alongside cooling inflation and labor metrics, suggesting that corporate earnings can remain stable without triggering further monetary restriction.

For equity valuations, particularly in the mega-cap technology and growth sectors we hold, the alleviation of rate-hike fears removes a critical valuation headwind due to better expected future borrowing costs. The news of soft employment also significantly reduces the threat of structural wage inflation, alleviating a major headwind that had previously threatened to compress corporate profit margins. Furthermore, while escalating Middle Eastern geopolitical tensions and rising oil prices remain a persistent headwind, the broader resilience in GDP indicates that the economy is currently absorbing these shocks without fracturing demand.

Supported by this macroeconomic backdrop, the S&P 500 has rallied 0.944% and the Nasdaq has rallied 2.52% since the last prospectus. The index is steadily recovering from its August drawdown, a period defined by strict rate fears, seasonal volatility, and anxieties over stretched valuations. Looking forward, the primary risk to the portfolio is no longer Fed-driven multiple compression, but rather a more typical earnings hurdle. With the threat of restrictive monetary policy fading, expectations for AI monetization and corporate execution are exceptionally high. Capital has confidently rotated back into broad-market indices, but companies must now deliver tangible revenue growth to defend their elevated multiples against the ongoing competition from high long-duration Treasury yields.

## **Risks and Reallocation:**

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While the fixed income and broad-market equity allocations are well-positioned for the current macroeconomic environment, prudent risk management requires addressing the portfolio's outsized exposure to the U.S. Technology sector. Anchored by a substantial stake in NVIDIA, technology holdings now represent approximately 25% of total portfolio assets. While this allocation has generated exceptional returns over the past four years, the sheer size of the concentration necessitates a proactive de-risking strategy.

Although the long-term secular bull thesis for AI remains intact, several medium-term structural bottlenecks and financial hurdles are emerging that threaten to compress margins and introduce severe volatility.

The AI data center build-out is shifting from a purely digital phenomenon to an intense physical infrastructure cycle heavily dependent on raw materials and energy grid capacity. A primary bottleneck is copper. AI infrastructure requires massive quantities of copper for power transmission, server racks, and advanced cooling systems. However, the global copper supply is highly inelastic; following decades of underinvestment, bringing a new copper mine to production takes an average of 15 to 18 years. Furthermore, supply is geographically concentrated in a few jurisdictions, making it highly susceptible to disruption. As hyperscaler demand collides with stagnant supply, input costs will aggressively inflate, ultimately passing down the chain and compressing operating margins across the AI ecosystem.

The current pace of infrastructure spending is testing the limits of corporate balance sheets. Capital expenditure by the major hyperscalers is projected to exceed \$600 billion in 2026 and surge toward a cumulative \$1.3 trillion by 2027. Bank analysts estimate that AI capital spending will consume nearly 90% to 100% of hyperscaler operating cash flows in 2026. Consequently, S&P Global projects that five of the six largest hyperscalers will generate negative free operating cash flow by 2027, forcing these companies to increasingly rely on debt markets.

This creates a high-stakes "earnings hurdle." The broader market expects hyperscaler operating cash flow to more than double to \$2.4 trillion by 2028. If end-user AI monetization falls short of these aggressive assumptions, hyperscalers will be forced to drastically cut their CapEx. A sudden halt in infrastructure spending would immediately collapse semiconductor revenues, widen credit spreads, and drag down overall U.S. GDP growth.

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The AI revenue ecosystem remains dangerously circular. Sector spending is highly concentrated, with the top 10% of enterprise customers accounting for over 99% of model-serving spending and neocloud compute demand. Because so much of the hardware demand is driven by a small handful of well-capitalized tech giants, the entire supply chain is vulnerable. If even a few of these key players experience margin compression or hit their debt ceilings, the resulting demand shock would severely impact the entire AI trade.

These structural risks confirm that an AI sector pullback is not a matter of *if*, but *when*. However, these are fundamentally longer-term constraints. In the immediate term, the earnings environment remains robust, with NVIDIA explicitly guiding toward a stronger-than-expected 2027 outlook and corporate earnings continuing to beat consensus.

Because this portfolio operates on a strict one-year horizon to meet specific liquidity needs, a panicked liquidation is not necessary, since these problems are largely structural. Instead, I will implement a disciplined, valuation-based trimming strategy. As my technology holdings, particularly NVIDIA, reach peak forward valuation multiples, we will harvest profits and reduce exposure.

Proceeds from these strategic trimmings will be aggressively rotated out of high-beta tech. Capital will be reallocated into defensive equities, such as our existing Consumer Staples exposure, and short-duration fixed income. Specifically, funneling these profits into short-term U.S. Treasury bills will serve a dual purpose: locking in elevated risk-free yields while perfectly matching our portfolio's liquidity timeline to defease upcoming tuition liabilities.

**9/20/2026**

### **Macroeconomic Analysis:**

The FOMC decided at its September 16 meeting to raise the federal funds target rate by 25 basis points to a range of 3.75%–4.00%. The move was largely priced into front-end Treasury yields and fed funds futures months ago, and especially following recent inflation reports showing headline CPI running at 3.4% YoY, Core CPI at 2.4% YoY, and Core PCE estimating around 3.1% YoY. Furthermore, resilient labor market data and sticky wage growth have underscored the Fed's dual-mandate concerns, justifying a hawkish stance even as core inflation moderates. While short-term real rates have tightened, the SOMA

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runoff continues to drain bank reserves, driving reverse repurchase agreement (RRP) facility usage lower and tightening the circulation of money as a part of quantitative tightening. However, while yield curve dynamics reflect an upward-sloping trend, this is driven by a bear steepening at the long end as markets digest Treasury supply and geopolitical risk, actively tightening financial conditions rather than signaling a healthy normal curve. Quantitative market expectations, derived from OIS pricing, assign an approximate 60% probability to a 25 bps rate hike at the October 28 meeting, with an ~85% cumulative probability of the policy rate reaching 4.00%–4.25% by the December 9 meeting. There is also a widening of the risk premium, high-yield credit spreads, and elevated oil volatility, driven by geopolitical escalations in the Middle East that threaten energy supply lines and threaten to pass through higher transportation costs into headline inflation.

An analytical assessment of the current macroeconomic environment hinges heavily on how fast resolution can occur to the geopolitical conflict in the Middle East, which poses significant tail risks to supply-side energy pricing and headline PCE inflation. In addition, political midterm incentives create more uncertainty surrounding the situation, increasing the variance of outcomes between rapid diplomatic resolution or extreme military action. Given this risk environment, Chairman Kevin Warsh and the Fed will likely lean heavily on lagging indicators, specifically the recent 2.4% Core CPI print and ongoing labor market resilience, while monitoring the threat of second-round inflation effects from sustained energy spikes. Therefore, I tentatively expect the Fed to hold rates steady at the October 28 meeting to assess incoming data and the geopolitical situation. However, if inflation metrics fail to cool further, I ultimately believe the Fed will follow through on current market pricing and deliver a 25 bps hike at the December 9 meeting. All of this hinges on the latest inflation and employment reports as they are released.

A table of scenarios highlights current estimates:

| Geopolitical Scenario | Brent Crude Price Target | Macroeconomic Implication                    | Probability |
|-----------------------|--------------------------|----------------------------------------------|-------------|
| Rapid De-escalation   | \$70 - \$75 / bbl        | Normalization of inflation expectations; Fed | High        |

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|                                     |                     |                                                                                         |           |
|-------------------------------------|---------------------|-----------------------------------------------------------------------------------------|-----------|
|                                     |                     | pivots to rate cuts                                                                     |           |
| <b>Status Quo<br/>(Range-bound)</b> | \$85 - \$95 / bbl   | Sustained volatility;<br>Fed holds rates<br>steady through Q1<br>2027                   | Moderate  |
| <b>Structural Supply<br/>Shock</b>  | \$120 - \$150 / bbl | Stagflationary<br>environment;<br>mandatory rate<br>hikes; severe<br>market contraction | Tail Risk |

In terms of equities, the S&P 500 has marginally advanced since May, caught in a macroeconomic tug-of-war between robust corporate earnings growth and persistent P/E multiple compression. Consensus market pricing currently reflects a belief in higher interest rates in the longer term, penalizing valuations through elevated long-term discount rates and expanded equity risk premiums driven by sustained energy costs and geopolitical uncertainty.

However, I diverge from this consensus, identifying significant remaining upside. Current inflationary pressures, and the resulting restrictive monetary stance, are not structural shifts, but are temporary supply-side shocks strictly tethered to Middle Eastern geopolitical conflict. Consequently, the long-term discount rate currently applied to equity valuations is artificially inflated. Upon diplomatic or military resolution, there will be a normalization of the geopolitical risk premium. While structural U.S. fiscal deficits will likely prevent a total collapse in long-term rates, the removal of the war premium will still catalyze a meaningful drop in interest rates and a reduction in energy input costs, directly relieving margin pressure on capital-intensive infrastructure build-outs.

Against this backdrop, structural AI CapEx cycles from hyperscalers provide an opportunity that disproportionately benefits the semiconductor industry. As the geopolitical risk premium and discount rates decrease, the recent multiple compression experienced by technology stocks will reverse. While I align with consensus baseline estimates for the

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broader S&P 500, I view the mega-cap technology sector as significantly undervalued relative to its true long-term cost of capital, making a strategic buy-and-hold allocation to AI-levered equities a key strategy. The primary risk to this thesis is the large amount of CapEx required to build out AI infrastructure, particularly as these investments are deployed in a higher interest rate environment.

Elevated borrowing costs and extreme capital intensity threaten to compress return on invested capital if monetization lags behind estimates. Indeed, combined capital expenditures from the top five hyperscalers (Amazon, Microsoft, Alphabet, Meta, and Oracle) are confirmed by Q1 2026 earnings to reach between \$775 billion and \$800 billion for the fiscal year, representing an astonishing 64% year-over-year increase, far outpacing near-term revenues. In addition, due to accounting mechanics, although hyperscalers purchased large amounts of PP&E, they only record a fraction as depreciation, and that will continue until it actually hits future income statements, reducing ROIC. However, forward ROIC models indicate that at current utilization rates and pricing, AI investments remain highly value-accretive and demand is still rapidly increasing. However, while this debt burden remains a structural headwind, it is ultimately eclipsed by current market fundamentals: as long as aggregate demand for compute continues to vastly outstrip semiconductor capacity, top-line revenue generation will comfortably absorb these financing costs in the near term.

### Sector Strategy:

Given the macroeconomic conditions, including the anticipated compression of the geopolitical risk premium and the advantage of tech stocks, as they have collectively dropped in P/E ratios, my portfolio allocation strategy aggressively overweights the semiconductor and mega-cap technology sectors. My stock selection process isolates direct beneficiaries of the AI infrastructure build-out, screening strictly for companies with defensible economic moats, pristine balance sheets, and high Return on Invested Capital (ROIC) that insulates them from restrictive debt markets. To mitigate concentration risk and manage overall portfolio volatility, I employ a strict risk-budgeting framework. This involves hedging directional beta and diversifying through low-correlation defensive equities, passive broad-market index exposure, and short-duration cash equivalents, specifically utilizing 9-month duration U.S. Treasuries to lock in elevated front-end yields and to have

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enough funds to pay for my Columbia education in the next pay cycle, while functioning as a risk-free portfolio buffer. Below is the fundamental analysis, valuation modeling, and risk budgeting rationale for my highest-conviction holdings.

## **Technology Sector Investments:**

### **NVIDIA Corporation (NVDA) – Long (17.76% of account)**

- 1-year Target Price: \$275.00
- Implied Forward P/E Multiple: 38x

#### **Investment Thesis:**

My initial position in NVIDIA was established in 2022 at a split-adjusted cost basis of approximately \$20 per share, marking the inception of my active portfolio. Driven by an early appreciation for the company's hardware dominance in the consumer gaming sector, and forced to learn foundational value investing principles from *The Intelligent Investor* and Warren Buffett's methodologies before my parents allowed me to invest, I acquired an initial \$660 stake. What began as a consumer-driven thesis evolved into a high-conviction play as NVIDIA's near-monopolistic positioning in GPU architecture became the bedrock of the generative AI revolution. I have deliberately allowed this position to compound, which explains its outsized 17.76% portfolio weighting today. This concentration is not an oversight in risk budgeting, but a conscious decision to hold a fundamentally superior asset with an unbreached economic moat.

NVIDIA's fundamentals and market positioning justify this continued premium. The company's formidable economic moat is reinforced not just by its silicon superiority, but by its proprietary CUDA software ecosystem, which creates prohibitively high switching costs for developers. Financially, NVIDIA continues to generate unprecedented free cash flow with gross margins consistently operating in elite territory, allowing management to execute highly accretive share buybacks that signal internal conviction in their intrinsic valuation. My primary risk consideration centers on the current AI industry dynamics, specifically the estimated nearly \$1 T aggregate CapEx cycle from top hyperscalers measured against currently lagging direct monetization. To maintain consensus, hyperscalers operating cash flow has to triple from \$600 B to \$2 T, otherwise CapEx plans

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will get cut and AI stocks fall. While this threatens the eventual return for the hyperscalers themselves if competitive pricing wars erode margins, NVIDIA effectively operates with high-margin revenue regardless of which downstream AI model ultimately captures terminal market share, limiting downside.

The structural paradigm shift catalyzed by AI warrants this valuation structure. Recent breakthroughs, such as Anthropic's Claude solving advanced mathematical theorems previously thought beyond LLM capabilities, demonstrate that AI is not a siloed product, but a foundational general-purpose technology that will permanently accelerate workflows across all sectors of the broader economy. Driven by this sustained aggregate demand for compute, my valuation anchors a \$275.00 target price, implying a 38.0x forward P/E multiple. Once the current geopolitical risk premium compresses and macroeconomic discount rates normalize, I expect NVIDIA's recent multiple compression to aggressively reverse, making the potential upside heavily outweigh the near-term concerns of an AI capacity bubble. Especially with a 1 year price target, there is relatively low risk of a large scale pull back in AI stocks.

### **Microsoft Corporation (MSFT) – Long (3.57% of account)**

- 1-year Target Price: \$550
- Implied Forward P/E Multiple:

#### **Investment Thesis:**

Microsoft is one of the earliest foundational holdings in my portfolio. Initially acquired due to a consumer-level familiarity with the Windows and Xbox ecosystems, my conviction in the stock has matured alongside the company's aggressive pivot toward enterprise cloud computing and artificial intelligence. While competitors have attempted to encroach on the productivity software market, Microsoft's Office 365 enterprise remains strong due to prohibitive switching costs and seamless ecosystem integration, especially for regular consumers. Rather than being upended, this legacy software dominance is now serving as the ultimate distribution channel for their AI rollout, allowing Microsoft to effortlessly upsell Copilot functionality to an already captive global enterprise user base.

The structural tailwinds driving Microsoft's valuation are anchored by exceptional revenue growth in its Intelligent Cloud segment, Azure, which had ~43% year-over-year revenue

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growth, fueled by consumption-based services and the company's strategic partnership with OpenAI. Microsoft has successfully transitioned from an operating system provider to an AI enterprise, supported by high recurring revenue. This provides a direct, immediate monetization pathway for generative AI that many of its hyperscaler peers lack.

The primary risk to this thesis lies in the capital intensity required to maintain this market leadership. Microsoft's capital expenditures surged to over \$64 billion in FY2025, squeezing near-term free cash flow as the company aggressively builds out the data center infrastructure required to alleviate scarce AI compute capacity. However, this massive CapEx cycle is heavily de-risked by Microsoft's pristine balance sheet. With the company generating over \$100 billion in annual net income, they are easily absorbing these infrastructure costs. Furthermore, unlike speculative infrastructure spending, Microsoft's CapEx is building directly into concrete, existing enterprise demand for Azure and Copilot, solidifying its position as the safest, highest-quality anchor for the portfolio's mega-cap technology allocation.

### **Apple Inc (AAPL) – Long (0.88% of account)**

- 1-year Target Price: \$340
- Implied Forward P/E Multiple:

#### **Investment Thesis:**

Apple serves as the defensive, cash-generating anchor within the mega-cap technology allocation of this portfolio. While the stock may not offer the hyper-growth of NVDA, MSFT, or META, it provides critical stability and downside protection, functioning as a low-beta counterweight. The core justification for this position is Apple's fortress balance sheet and free cash flow generation. Operating one of the most robust hardware and services ecosystems in the world, Apple consistently converts customer loyalty into highly predictable, recurring cash flows. While its standalone dividend yield is relatively modest, the company's aggregate capital return program driven by historically unprecedented, triple-digit billion-dollar share repurchase authorizations provides a synthetic yield that effectively puts a floor under the share price and steadily compounds shareholder value.

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From a macroeconomic and capital expenditure perspective, Apple is uniquely insulated from the margin-compressing AI infrastructure spending currently plaguing other hyperscalers. While the company was initially perceived as a laggard in the generative AI arms race, its strategy is highly capital-efficient. By focusing on on-device processing through the rollout of Apple Intelligence and a deeply integrated, context-aware Siri, Apple leverages its massive installed base of over 2 billion active devices rather than engaging in a debt-fueled data center build-out.

Because Apple outsources fabrication to TSMC and partners for cloud-based LLM compute, its organic R&D and CapEx requirements remain a fraction of its operating cash flow. The near-term upside may be more marginal compared to its peers, but the impending hardware upgrade supercycle catalyzed by consumers needing newer chips to run on-device Apple Intelligence presents an asymmetrical risk/reward profile.

### **Alphabet Inc (GOOG) – Long (0.52% of account)**

- 1-year Target Price: \$375
- Implied Forward P/E Multiple:

#### **Investment Thesis:**

Alphabet is held for its structural distribution advantages rather than the raw capabilities of its foundational models. I do not believe the Gemini model itself constitutes a durable economic moat since its models are not as strong as the current top models, Chat-GPT and Claude. Instead, Alphabet's true moat lies in its frictionless integration of Gemini across its deeply entrenched Google Workspace ecosystem. By embedding generative AI directly into the existing daily workflows of millions of enterprise users, Alphabet eliminates the friction of new habit formation and creates enterprise switching costs. This distribution advantage is yielding tangible financial results, with Google Cloud revenue recently surging 82% year-over-year to \$24.8 billion in Q2 2026, driven heavily by enterprise AI demand. However, this top-line acceleration is counterbalanced by the severe capital intensity required to sustain it. Alphabet has raised its 2026 capital expenditure guidance to a staggering \$195 billion to \$205 billion, which threatens to compress near-term free cash flow. While this massive CapEx burden limits the potential for large structural upside and explosive multiple expansion, the company's strong foundational revenue growth makes it

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a highly effective, albeit fractional, holding to adequately diversify the portfolio's technology sector exposure.

### **META Platforms (META) – Long (0.07% of account)**

- 1-year Target Price: \$730
- Implied Forward P/E Multiple:

#### **Investment Thesis:**

With the stock currently trading near my \$730 price target, I view the company as fairly valued given its current trajectory. The core catalyst for retaining this position is the recent September 2026 launch of "Muse," Meta's new agentic AI. Unlike passive chatbots, Muse is designed to execute complex, multi-step personal tasks, from managing calendars and making travel bookings to executing secure purchases, directly through Meta's massive distribution channels like WhatsApp and Instagram. If Meta can successfully monetize this agentic AI at scale, it provides a powerful new consumer revenue vertical outside of their core digital advertising business.

However, I am capping the position size due to ongoing structural and operational hurdles within their AI division. The team faces significant challenges balancing the massive capital expenditures required to train and run massive Llama 3.1 against fierce industry competition for specialized talent and compute clusters. Because Meta has largely committed to open-sourcing its foundational models, the direct return on these infrastructure investments remains difficult to quantify compared to closed-source peers. Given these execution risks and the fact that the stock is hovering near my assumed fair value, the stock is a strict hold, kept in the portfolio solely to capture upside in the event of an unforeseen AI breakthrough or highly favorable monetization news.

### **Consumer Staples:**

#### **Consumer Staples Select Sector SPDR Fund (XLP) (1.50% of account)**

**Allocation Strategy:** Passive Sector ETF Exposure

**Role:** Defensive Equity Buffer and Low-Beta Diversification

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**Investment Thesis:**

At 1.50% of the portfolio, the Consumer Staples Select Sector SPDR Fund (XLP) serves as a targeted, low-beta equity buffer. Tracking the Consumer Staples sector, this allocation is explicitly designed for its defensive, counter-cyclical characteristics. Consumer staples companies benefit from highly inelastic demand. Consumers will continue to purchase these everyday necessities regardless of the prevailing macroeconomic environment or interest rate policy.

Because of this inelasticity, the XLP allocation acts as a shock absorber for the portfolio. If the geopolitical risk premium spikes, or if a deceleration in AI CapEx triggers a broad market drawdown, this sector is positioned to significantly outperform the broader market on a relative basis. While its fractional 1.50% weighting limits its ability to single-handedly offset severe equity losses, it functions as a highly effective, dividend-yielding defensive anchor. It mathematically lowers the portfolio's overall beta and provides a necessary counter-cyclical balance to the severe cyclicity of my concentrated mega-cap technology and semiconductor holdings. If it becomes more likely there will be a downturn, my remaining cash will go into this sector.

**S&P 500:****Broad Market Equities – Fidelity 500 Index Fund (FXAIX) (25.51% of account)**

**Allocation Strategy:** Passive S&P 500 Index Exposure

**Role:** Broad Equity Beta, Idiosyncratic Risk Mitigation, and Macroeconomic Upside Capture

**Investment Thesis:**

The Fidelity 500 Index Fund (FXAIX) represents a core 25.51% allocation in the portfolio, serving primarily to mitigate the idiosyncratic risk inherent in my concentrated individual stock selections. While my individual technology holdings are designed to capture the direct revenue from the AI infrastructure build-out, this broad-market allocation is positioned to capture the long-term productivity gains as AI is adopted across non-tech sectors such as healthcare, financials, and industrials. Furthermore, the S&P 500 stands to be a primary beneficiary of my core macroeconomic thesis: as the Middle Eastern geopolitical risk premium compresses and temporary energy supply shocks resolve over the next year, the subsequent decline in long-term discount rates and input costs will directly relieve margin pressure across the broader U.S. economy, catalyzing a broad-based equity rally.

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However, it is important to acknowledge the structural composition risk inherent in this allocation. While an S&P 500 index fund theoretically provides diversified exposure across all sectors, the reality of current market-capitalization weighting means this position is heavily tethered to the exact same secular trends as my individual stock picks. As of late 2026, the Information Technology sector accounts for nearly 38% of the S&P 500, with semiconductor stocks alone driving a disproportionate share of the index's total performance. Because of this extreme top-heavy concentration, the S&P 500's correlation with the tech-heavy Nasdaq-100 reached an unprecedented 0.98 earlier this year.

Consequently, if the AI CapEx cycle decelerates and triggers a broader multiple contraction, the S&P 500 will experience a severe, correlated drawdown alongside my individual mega-cap holdings. Combining my direct technology positions with the Information Technology sector's roughly 32% weight within the S&P 500, approximately 35% of my total portfolio is structurally exposed to AI-related equity drawdowns. While this concentration creates significant downside beta, the recent multiple compression across the mega-cap tech sector provides an asymmetric risk/reward profile. Because these compressed valuations are fundamentally supported by structurally accelerating top-line revenues and deep enterprise backlogs, they present substantial near-term upside. Therefore, this S&P 500 allocation is held not to hedge against a technology bubble bursting, but rather to ensure the portfolio captures the macroeconomic upside of a normalizing U.S. economy while systematically diversifying away from the binary, company-specific execution risk of any single firm.

## **Aerospace and Defense:**

### **Aerospace and Defense – Howmet Aerospace Inc. (HWM) (3.55% of account)**

#### **Investment Thesis:**

Representing 3.55% of the portfolio, Howmet Aerospace effectively bridges high-growth commercial demand with defensive stability. Having recently constructed a comprehensive stock pitch, I am highly confident in its 1-year upside. Recent news has dragged the stock down, but this is mostly retail investor panic, and price targets have remained at a \$337 average from its current stock price of \$231. By supplying mission-critical engine components, advanced titanium structures, and fastening systems to both Boeing and Airbus, Howmet captures the upside of the massive, multi-year commercial aviation backlog without being exposed to regulatory risks of the prime manufacturers themselves, while maintaining a monopolistic position as a supplier.

From a macroeconomic perspective, Howmet directly benefits from the elevated geopolitical risk premium outlined in my broader portfolio thesis. Sustained global tensions continue to drive structural increases in government defense budgets, translating into highly visible, non-cyclical defense aerospace revenue. This dual-engine growth is fundamentally validated by their most recent Q2 2026 earnings, where the company reported a staggering 24% year-over-year

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revenue increase, propelled by 28% growth in commercial aerospace, 11% in defense aerospace, and 38% in the industrial gas turbines market.

Furthermore, Howmet recently fortified its supply-chain dominance with the highly accretive \$1.8 billion acquisition of Consolidated Aerospace Manufacturing (CAM), which immediately expands its capabilities in complex aerospace fasteners and fluid fittings. With adjusted EBITDA margins now eclipsing 32% and exceptional free cash flow generation, my proprietary modeling confirms that Howmet's entrenched supply-chain dominance and pricing power justify a significant valuation premium, securing its place as the portfolio's premier industrial holding.

## **Fixed Income and Cash Equivalents**

### **Short-Duration U.S. Treasuries 4.375% coupon; Maturity 7/15/2027 (38.68%)**

**Allocation Strategy:** 9-Month U.S. Treasury Bills (Held to Maturity)

**Role:** Volatility Buffer, Beta Dilution, and Principal Preservation

#### **Investment Thesis:**

The fixed-income allocation, comprising 38.68% of the portfolio, functions as the primary defensive anchor against the high-beta, concentrated risk of the mega-cap technology and semiconductor equity positions. Rather than chasing yield or capital appreciation in long-duration bonds, this allocation strictly utilizes short-duration, 9-month U.S. Treasuries held to maturity. This structure is deliberately designed to prioritize absolute capital preservation and precise liability matching over directional macroeconomic hedging.

While this allocation serves as a defensive barrier against a potential AI CapEx deceleration, it is important to distinguish its exact mechanical function: it operates through beta dilution rather than as an inverse hedge. If the AI bubble bursts and triggers a deflationary contraction, the Fed would likely execute aggressive rate cuts. Under those conditions, 20-year Treasuries would act as a true hedge, experiencing massive capital appreciation that actively offsets equity losses. However, long-duration bonds carry unacceptable downside mark-to-market risk if inflation instead remains elevated.

By utilizing 9-month T-bills, I am consciously trading away capital appreciation in a crash to eliminate the duration risk today. The sheer size of this 38.68% allocation protects the overall portfolio by simply not going down. If the portfolio's high-growth technology

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equities were to suffer a severe 30% drawdown, this massive cash-equivalent buffer mathematically dilutes the impact, constraining the total portfolio drawdown to a highly manageable single-digit percentage, guaranteeing that even in the bad case, my principal remains absolutely intact to fund my second year Master of Science in Financial Economics tuition at Columbia Business School, while providing the equity positions the long-term runway they need to recover and compound without forcing a premature liquidation during a market panic.

### **Cash Equivalents – Fidelity Government Money Market Fund (SPAXX) (Remaining Cash)**

**Allocation Strategy:** Short-Term Liquidity Buffer

**Role:** Principal Preservation and Capital Deployment Readiness

#### **Investment Thesis:**

The remaining uninvested capital in the portfolio is held within the Fidelity Government Money Market Fund (SPAXX). This fund provides a highly liquid, stable baseline return while preserving the optionality required for tactical capital deployment. As I conduct further fundamental analysis, this cash is strictly earmarked for rotation into defensive, counter-cyclical industries, such as healthcare, utilities, or further consumer staples, that feature inelastic demand profiles. By slowly deploying this capital into low-beta sectors during market dislocations, I can actively lower the portfolio's overall volatility profile and mitigate the downside risk of the heavy technology weighting without sacrificing the near-term yield generated by current money market rates.